saturation point and it is unable to cleanup several forms of wastes. Remember, the earth also may not cooperate!

10.5 Environmental Goods

Environmental goods are typically non-market goods, including clear air, clean water, landscape, green transport infrastructure (footpaths, cycle ways, greenways, etc.), public parks, urban parks, rivers, mountains, forests, and beaches. Concerns with environmental goods focus on the effects that the exploitation of ecological systems have on the economy, the well-being of humans and other species, and on the environment.

10.6 Environmental Quality

Environmental quality is a set of properties and characteristics of the environment either generalized or local, as they impinge on human beings and other organisms. It is a measure of the condition of an environment relative to the requirements of one or more species and to any human need. Environmental quality has been continuously declining due to capitalistic mode of functioning.

Environment is a pure public good that can be consumed simultaneously by everyone and from which no one can be excluded. A pure public good is one for which consumption is non-revival and from which it is impossible to exclude a consumer. Pure public goods pose a free-rider problem. As a result, resources are depleted. The contribution of nature to GDP and the depletion of natural resources are not accounted in the present system of National Income Enumeration.

Externalities and the environment

Introduction

In **Environmental Economics**, one of the most important market failures is caused by **negative externalities** arising from production and consumption of goods and services. Externalities are **third party effects** arising from production and consumption of goods and services for which no **appropriate compensation is paid. Externalities occur outside the market** i.e. they affect people not directly involved in the production and consumption of a good or service. They are also known as **spill-over effects**.

10.6.1 Meaning of Externalities

Externalities refer to the external effects or the spillover effects resulting from the act of production or consumption on the third parties. Externalities arise due to interdependence between economic units.

Definitions

Externality may be defined as "the cost or benefit imposed by the consumption and production activities of the individuals on the rest of the society not directly involved in these activities and towards which no payment is made".

The externalities arise from both production and consumption activities and their impact could be beneficial or adverse. Beneficial externalities are called "positive externalities" and adverse ones are called "negative externalities".

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